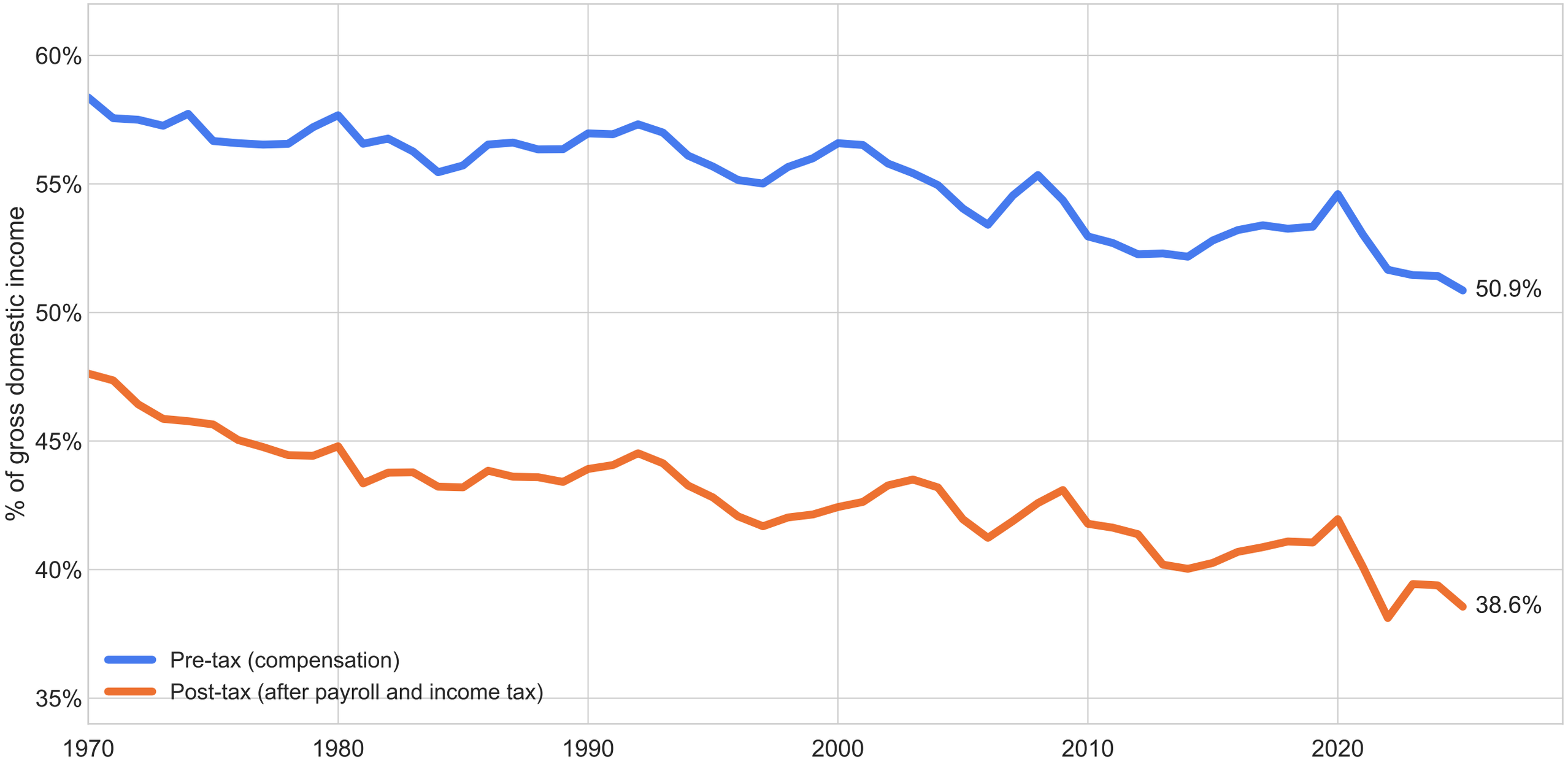
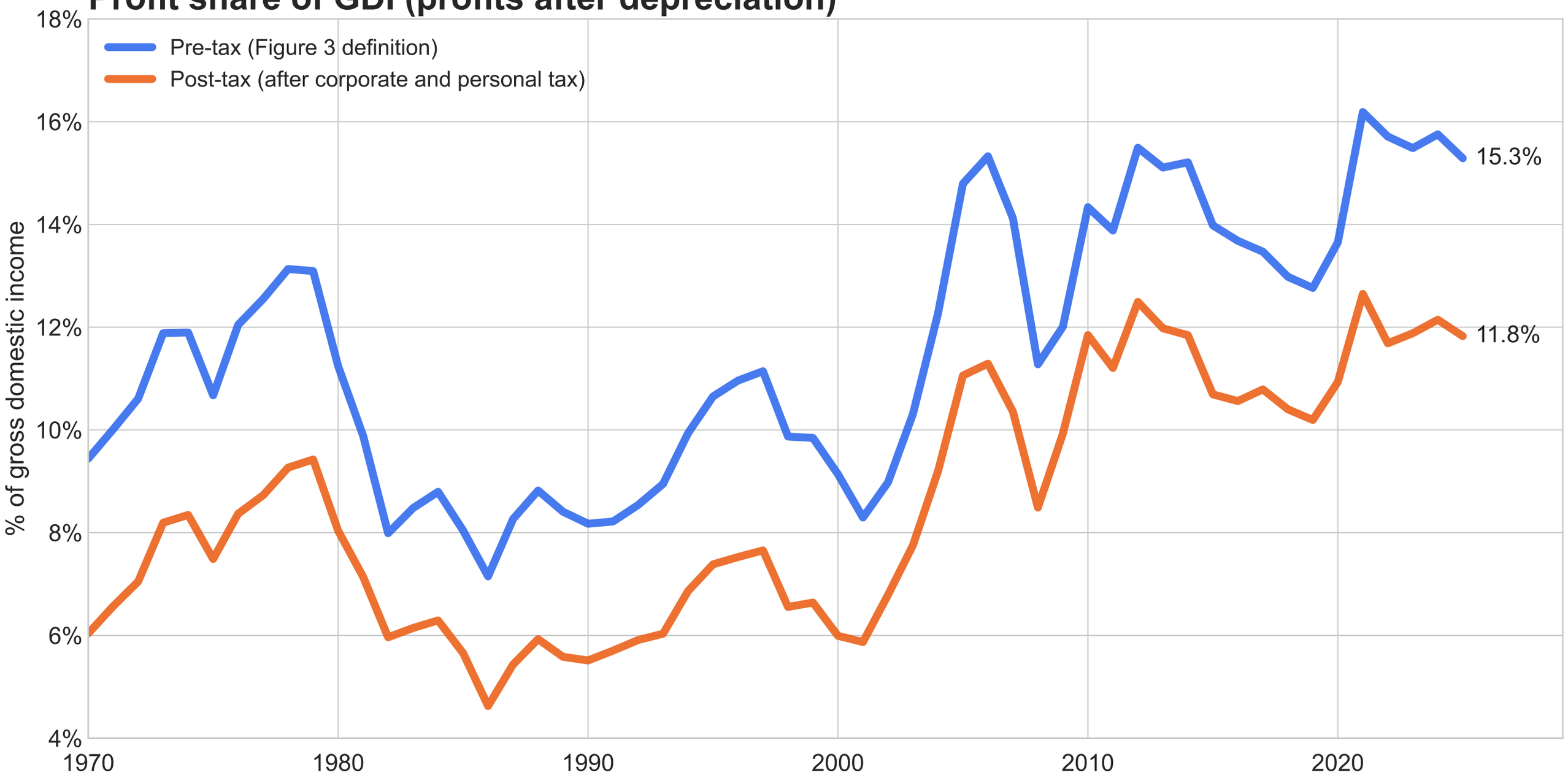
Labor share of GDI



Profit share of GDI (profits after depreciation)



Source: BEA NIPA bulk data (Tables 1.10, 1.12, 2.1, 3.4, 3.6). Payroll taxes are employer and employee social insurance contributions. Income tax on wages, dividends, and proprietors' income uses the average household income tax rate (Mendoza, Razin and Tesar 1994). Profits are corporate profits without IVA/CCAdj, after depreciation as firms report it for tax, plus the capital part of proprietors' income (proprietors' income split between labor and capital in the same ratio as the rest of the economy's income).